Interest coverage ratio

INVESTMENT / ECONOMY / BUSINESS

Meaning of the indicator
Measures how many times profit covers interest payments. Calculation example: operating profit ÷ interest expense.

Indicative levels
1×: little headroom. 3×: watch for falling profits. 5×: some headroom. 10× or more: substantial capacity.

Cautions
Definitions may differ between documents. Even a high ratio does not resolve the separate issue of repaying loan principal.

Also examine
Operating cash flow, cash, outstanding debt and repayment dates. Consider rising interest rates and falling profits.

TODOROKI | Investment and economics: numbers before intuition.